

DELHI DISTRICT COURT · JUDGMENT DIGEST

Hem Chand Gupta v. BSES Rajdhani Power Ltd.

Suit No. 598159/16 | Civil Judge-01, Central District, Tis Hazari Courts, Delhi | 5 November 2016

COURT	Court of Shri Himanshu Raman Singh, Civil Judge-01, Central District, Tis Hazari Courts, Delhi
CORAM	Shri Himanshu Raman Singh, Civil Judge-01
DATE OF JUDGMENT	5 November 2016 (suit instituted 13.01.2000)
NATURE OF PROCEEDING	Civil suit for perpetual and mandatory injunctions, with preliminary objection under Order 7 Rule 11 CPC as to maintainability, and relief for refund of amount deposited under protest
PARTIES	Hem Chand Gupta, proprietor of Shri Balaji Tent House, RZ-A-32, Vijay Enclave, New Delhi (plaintiff) v. BSES Rajdhani Power Ltd., a power distribution licensee (defendant)
PROVISIONS	Sections 135, 153, 154 of the Electricity Act, 2003; Order 7 Rule 11 of the Code of Civil Procedure; Specific Relief Act, 1963 (injunction and relief)
RESULT	Suit decreed. The blanket perpetual injunction sought (Issue 2 — restraining the defendant from raising any false bill or penalty) was <i>refused</i> as unnecessary; but, the theft bill being found <i>prima facie</i> illegal, the Court permanently restrained the defendant from realising the dues of the impugned bill dated 11.01.2000, decided the mandatory-injunction issue (Issue 3) in the plaintiff’s favour, ordered refund of Rs.1,12,287/- with interest at 8% p.a. from 15.01.2000 within 8 weeks (18% p.a. on any delay), and directed the defendant to give the plaintiff a hearing before raising any fresh bill. No order as to costs.

POINT FOR DETERMINATION

- Whether the suit of the plaintiff is maintainable in the present form (given that it prays for ancillary relief of permanent injunction without seeking declaration, and given the jurisdiction of special courts under the Electricity Act, 2003)?
- Whether the plaintiff is entitled to the decree for permanent injunction as prayed for?
- Whether the plaintiff is entitled to the decree for mandatory injunction as prayed for?
- Whether the suit of plaintiff is barred by limitation?
- Whether plaintiff is entitled to the refund of deposited amount of Rs.1,12,287/-?

FACTS

The plaintiff was running a tent house business (Shri Balaji Tent House) on the ground floor of RZ-A-32, Vijay Enclave, New Delhi. He had a domestic electricity connection (K. No. 1222870) installed in 1989, which was disconnected in 1997 due to non-payment.

In October 1999, plaintiff installed welding and drilling machines on the premises and applied to the defendant to convert the domestic meter to a commercial meter with increased load of 3.5 K.W. As per defendant's direction, plaintiff deposited Rs.5,320 (vide receipt no.12421 dated 01.10.1999). The defendant subsequently restored and converted the connection to commercial.

After reconnection, the defendant failed to issue any electricity bills despite the plaintiff's repeated requests and personal visits. On 10 January 2000, an enforcement raid occurred. The raiding party alleged that the plaintiff was indulging in direct theft by bypassing the meter with PVC wire and raised a false theft bill of Rs.1,12,287.98 dated 11.01.2000. The meter was removed without prior notice and without issuing a receipt. The plaintiff then filed this suit on 13.01.2000.

The defendant filed a written statement taking a preliminary objection that the suit was not maintainable (Order 7 Rule 11 CPC) on the ground that it prayed for ancillary relief of injunction without seeking a declaration, and that civil courts lacked jurisdiction in theft cases under the Electricity Act, 2003. The defendant also contended that any refund claim was time-barred as it was raised in 2013, over 12 years after the amount was deposited.

REASONING OF THE COURT

HEADNOTE

A civil court retains jurisdiction to examine an electricity-theft case where the authority has violated procedural fairness and the bill is *prima facie* illegal. Where a power utility conducts an inspection, issues a theft bill, and removes a meter without obtaining the consumer's signature on the inspection report, without documenting that he was present at the inspection, and without providing him any notice or show-cause opportunity, the bill is *prima facie* illegal even if theft is alleged. Lack of natural justice compliance and procedural defects render the bill illegal, notwithstanding an allegation of theft. The consumer is entitled to an injunction restraining recovery and a refund with interest.

The suit is maintainable where the bill is *prima facie* illegal. While a case of direct theft arising out of an inspection report was indeed registered against the plaintiff on 10.01.2000 (as admitted by the plaintiff in cross-examination), the Court held that the earlier bench in *Sarjiwan Singh v. Delhi Vidyut Board* recognized an exception: where a bill raised by the electricity authority is *prima facie* illegal, a suit for simple injunction is maintainable even without seeking a declaration. The burden lies on the plaintiff to establish that the bill is *prima facie* illegal. This determination required examining the evidence. ¶ 21

The defendant failed to comply with procedural fairness in the inspection. The Court examined the inspection report and DW1's testimony and found material procedural defects. The inspection report bore no signatures of the plaintiff. The defendant's witness admitted that signatures of the defaulter and an endorsement of refusal (if unsigned) were required by procedure, and that a copy of the report must be given to the party. The defendant produced no document showing the plaintiff was present at the site, contrary to DW1's assertion that the inspection was conducted 'in the presence' of the plaintiff. On examination of the plaintiff's cross-examination, contradictions emerged: initially he said the entire inspection was in his presence, but later admitted he had left the raiding team alone for 10 minutes or so. The absence of signatures, proof of presence, and any show-cause notice or personal hearing prior to raising the

bill established that ‘the defendant has failed to prove that even the basic procedure was followed and the plaintiff was given a fair chance of hearing.’ ¶ 46–47

The bill is thereby established as prima facie illegal. In light of the foregoing procedural failures, the Court held it *established* that the plaintiff has been able to prove that the bill is prima facie illegal, whereupon the suit for injunction (without declaration) becomes maintainable. ¶ 47

The blanket perpetual injunction (Issue 2) is refused as unnecessary. On the second issue — a perpetual injunction restraining the defendant from creating any false bill or penalty — the Court declined relief, observing that ‘such kind of protection is available to each and every one and there is no requirement of granting an injunction in each and every case.’ Issue 2 was thus decided against the plaintiff, even though the *specific* impugned bill was separately restrained in the operative decree. ¶ 47

The mandatory-injunction issue (Issue 3) is decided for the plaintiff. Having found the bill *prima facie* illegal, the Court held the plaintiff had discharged the burden of proof and decided Issue 3 — the mandatory injunction to restore the connection and withdraw the theft bill dated 11.01.2000 — in his favour. In the operative decree (¶ 51) that relief took the form of a permanent restraint on realising the impugned bill, a refund with interest, and a direction to hear the plaintiff before any fresh billing, rather than an express reconnection order. ¶ 47

The suit was filed within the limitation period. Although the plaintiff deposited the theft amount on 15.01.2000, the suit was filed on 13.01.2000 — *before* the deposit, hence within the prescribed limitation period under the Limitation Act. The fact that the plaintiff later sought a refund in 2013 (via amendment) does not render the original suit time-barred. The Court held: ‘The necessary corollary of even the earlier suit would be that the plaintiff shall be entitled to refund of amount if the bill was found to be illegal. This issue is therefore decided against the defendant. The fact that the plaintiff had deposited the theft amount cannot be taken against him.’ ¶ 50

Refund is decreed with interest. Having found the bill prima facie illegal, the Court held it reasonable that the plaintiff be refunded the amount deposited. The plaintiff is entitled to a refund of Rs.1,12,287/- with interest at 6% per annum from 15.01.2000 till the date of decree. In the decree, the Court awarded 8% per annum from 15.01.2000 within 8 weeks, with 18% per annum for any delay. ¶ 51

INTERPRETATION OF THE ELECTRICITY STATUTES

ELECTRICITY ACT, 2003 & CODE OF CIVIL PROCEDURE

Section 135 (Theft of Electricity) — Does not bar civil jurisdiction where procedure is violated

Section 135 creates an offence of theft of electricity and prescribes penalties. However, a dispute arising from an allegation of theft does not automatically escape civil court jurisdiction merely because Section 153 establishes Special Courts for trial of offences under Section 135. Where the power utility has violated the statutory procedure and principles of natural justice — failing to give notice, show-cause, or hearing before raising a supplementary bill — the civil court has jurisdiction to examine the bill’s legality. The earlier High Court judgment in ***B.L. Kantroo v. BSES Rajdhani Power Ltd.*** had carved out exceptions: civil jurisdiction is not barred where provisions of law have not been complied with or the authority has not acted according to fundamental principles of judicial procedure. ¶ 14–15, 20–21

Order 7 Rule 11, CPC — Suit for Injunction Maintainable where Bill is Prima Facie Illegal

While a plaintiff praying for ancillary relief of injunction without a declaration is ordinarily not maintainable (per ***Sarjiwan Singh v. Delhi Vidyut Board***), an exception is carved when the bill is *prima facie* not legal. In such cases, a suit for simple injunction is maintainable. The burden is on the plaintiff to establish that the bill is prima facie illegal.

Where an electricity authority has issued a bill without following procedural compliance — without notice, hearing, or proper documentation — the bill is *prima facie* illegal and the suit for injunction succeeds without requiring a separate declaration. ¶ 18–21

Natural Justice in Administrative Action — Show-Cause and Personal Hearing Required

Even in cases of alleged direct theft, the electricity authority must afford the consumer an opportunity of hearing before fastening civil liability. Per the High Court in *Kuldeep Singh Dhingra v. MCD*, reproduced by this Court, ‘fair hearing, however minimal, is the requirement of administrative gentlemanliness.’ The consumer must be given an opportunity to make representations, and the authority must consider them before deciding. Without supply of relevant documents (such as inspection reports) to the consumer, or without obtaining his signature on the inspection report or noting his refusal to sign, there is a violation of natural justice. ¶ 26, 46–47

Inspection Report — Requirements of Procedural Regularity

An inspection report must bear the signatures of the inspecting team and the consumer. If the consumer refuses to sign, that refusal must be noted on the report. A copy must be handed to the party. The mere fact that the enforcement team visited does not establish that the consumer was present throughout or that he understood the allegations. Without these procedural safeguards, the inspection report cannot form the basis for a definitive finding of theft or for raising a unilateral supplementary bill. ¶ 46–47

Limitation Act — Suit Filed Before Amount Was Deposited

Under Section 3 of the Limitation Act, if a suit is instituted after the prescribed period, it shall be dismissed. The plaintiff filed the suit on 13.01.2000 and deposited the amount on 15.01.2000 (under protest). Since the suit was filed before the deposit, the suit is within the limitation period. Any cause of action to seek refund arises from the judgment’s finding that the bill was illegal, and the original suit (even if later amended to seek refund) remains within limitation as it was instituted within three years of the date the electricity was cut off or the bill was raised. ¶ 50

RATIO DECIDENDI

Where a power utility alleges electricity theft and raises a supplementary bill without giving the consumer a prior notice, without conducting a documented inspection bearing the consumer's signature (or noting his refusal), and without providing him a show-cause or opportunity of personal hearing before fastening civil liability, the bill is *prima facie* illegal notwithstanding the allegation of theft. A civil court retains jurisdiction to examine such a bill under the exception carved by High Court precedent. The consumer is entitled to an injunction restraining recovery and to a refund with interest. Procedural fairness and natural justice cannot be dispensed with even in theft cases.

ALSO HELD & OBITER

- **Public servants are presumed to act honestly, but the presumption is rebuttable by evidence of procedural defect.** Per the Supreme Court in *State of Kerala v. Mathew (M.M.)*, cited by the defendant, public servants are *prima facie* presumed to act honestly and conscientiously. However, this presumption does not shield them from scrutiny where they have failed to observe mandatory procedural requirements. The Court observed that while the defendant was represented by a government officer who was part of the inspection team, and while CISF personnel were present, the absence of signatures, documented presence, and notice procedures undermined the credibility of the inspection. ¶ 44–47
- **The generator and wires on the terrace were not conclusively proved by the plaintiff.** The plaintiff’s allegation that the raiding party demanded gratification and, on refusal, falsely involved him in theft, coupled with claims

about a generator and PVC wires on the terrace, were largely unsubstantiated. The plaintiff produced no documentary proof of the generator, and his testimony on these matters was internally inconsistent. However, these shortcomings in the plaintiff's case do not cure the defendant's procedural violations; the burden on the defendant to prove proper procedure remains, and that burden was not discharged. ¶ 40, 43, 47

DISPOSITION

The suit is decreed. The defendant, BSES Rajdhani Power Ltd., is restrained by a decree of permanent injunction from realising the dues of the impugned theft bill dated 11.01.2000. The defendant is directed to refund the amount of Rs.1,12,287/- alongwith interest at 8% per annum from 15.01.2000 within 8 weeks from the date of judgment. Any delay beyond this period will attract interest at 18% per annum. The defendant is further directed to give the plaintiff an opportunity of hearing and to take a decision in accordance with law before proceeding to raise any fresh bill. No order as to costs. Decree sheet to be prepared accordingly.

SIGNIFICANCE

This judgment establishes two key propositions in electricity-theft cases:

- **Procedural fairness binds even where theft is alleged.** The judgment clarifies that an allegation of electricity theft does not exempt the authority from compliance with natural justice. Prior notice, opportunity of hearing, and proper documentation (including signatures and proof of presence) are mandatory steps before the authority can unilaterally raise a supplementary theft bill.
- **A bill is prima facie illegal where procedure is violated, regardless of the strength of the theft allegation.** The Court did not decide whether the plaintiff actually committed theft. Instead, it held that the procedural defects alone rendered the bill prima facie illegal and thus challengeable in a civil suit for injunction, without requiring the plaintiff first to seek a declaration that the bill is incorrect.
- **Civil courts retain jurisdiction where statutory authority has acted unfairly.** Even though the Electricity Act, 2003 established Special Courts for criminal theft cases, the civil court has jurisdiction to examine bills where the authority has failed to comply with its own prescribed procedure or with principles of natural justice — a gap that the civil court can fill.
- **Signature and documentation requirements are not mere technicalities.** The absence of the consumer's signature on an inspection report, the absence of an endorsement of refusal, and the failure to hand over a copy transform what appeared to be a formal finding into a deficient proceeding. These are critical procedural safeguards.
- **Consumer refund claims need not wait for a separate declaration suit.** Where the bill is found illegal, the consumer can obtain refund directly under a suit for mandatory injunction and relief, without the intermediate step of filing a suit for declaration — provided the bill is prima facie shown to be illegal.

TABLE OF AUTHORITIES

Authorities cited and discussed by the judgment.

AUTHORITY	PROPOSITION & HOW TREATED	TREATMENT
<i>Sarjiwan Singh v. Delhi Vidyut Board</i> 110 (2004) DLT 633 · High Court of Delhi	Where a bill has been raised by the Electricity Department which is prima facie legal, a declaration must be prayed for before an injunction can be granted. However, an exception is carved: where the bill is prima facie <i>not</i> legal, a suit for simple injunction is maintainable without a declaration.	Relied upon
<i>B.L. Kantroo v. BSES Rajdhani Power Ltd.</i> 154 (2008) DLT 56 · High Court of Delhi (Division Bench)	Although the Electricity Act is a complete code, civil courts retain jurisdiction where provisions of law have not been complied with or the tribunal has not acted according to fundamental principles of judicial procedure. Jurisdictional error or failure to comply with mandatory procedure means civil court jurisdiction is not ousted.	Relied upon
<i>Super Auto Centre v. BSES Rajdhani Power Ltd.</i> RFA (OS) No. 66/2011, judgment dated 02.02.2011 · High Court of Delhi	The Special Court established under Section 153 has exclusive jurisdiction to try offences punishable under Sections 135–139. However, the civil court's jurisdiction is not barred; it is the power to try <i>criminal</i> offences that is conferred exclusively on the Special Court. The Special Court can also determine civil liability.	Referred
<i>CRP No. 72/2006 — NDPL v. Ganesh Aggarwal</i> order dated 02.11.2006 · High Court of Delhi	The exception to the Sarjiwan Singh rule is that where the bill is prima facie <i>not</i> legal, a suit for simple injunction is also maintainable. The court must be satisfied that the bill is prima facie illegal for this exception to apply.	Referred
<i>M/s Rakesh Rubber Industries v. MCD</i> 54 (1994) DLT 156 (Division Bench) · High Court of Delhi	Where a consumer is re-classified or billed at a higher tariff for alleged misuse, and the matter is disputed, the authority must give the consumer an opportunity to be heard before raising any bill for such charges. A bill raised without such opportunity must be quashed.	Relied upon
<i>J.K. Steelomelt (P) Ltd. v. BSES Rajdhani Power Ltd.</i> 140 (2007) DLT 563 · High Court of Delhi	In cases of Dishonest Abstraction of Electricity (DAE), the consumer must be shown to be responsible for tampering by tangible evidence. Mere external symptoms of tampering or consumption patterns are not conclusive evidence of DAE. The analysis of consumption pattern is merely corroborative, not substantive evidence. Some tangible evidence of physical means of tampering (such as an accu-check meter showing under-recording) must be shown.	Relied upon
<i>Kuldeep Singh Dhingra v. Municipal Corporation of Delhi & Ors.</i> AIR 1992 Delhi 228 · High Court of Delhi	Fair hearing and natural justice are requirements of administrative gentlemanliness. Representations made by an affected party, before an authority issues an order, must be considered. Ignoring such representations or not providing an opportunity to respond before an adverse order constitutes a breach of natural justice.	Relied upon
<i>Col. R.K. Nayar (Retd.) v. BSES Rajdhani Power Ltd.</i> 140 (2007) DLT 257 · High Court of Delhi	Where an inspection report lacks signatures of the inspecting team and of the consumer, does not note a refusal to sign, and is not in the standard format, it cannot reliably form the basis for a finding of theft or FAE. The burden is on the respondent to produce the inspection report to the consumer by registered post or verifiable means; absent such proof, the consumer can claim violation of natural justice.	Relied upon

AUTHORITY	PROPOSITION & HOW TREATED	TREATMENT
<i>Ramesh Chander & Ors. v. State of Delhi & Anr.</i> 68 (1997) DLT 257 · High Court of Delhi	The existence of a tampered meter does not by itself amount to ‘artificial means’ for abstraction of electricity under the relevant section. To frame a charge of theft, there must be material on record to prima facie show dishonest abstraction coupled with intention.	Referred
<i>Jagdish Narayan v. North Delhi Power Limited & Anr.</i> 140 (2007) DLT 307 · High Court of Delhi	The ‘conclusive evidence’ requirement in regulations for establishing DAE or theft means proof by conclusive means, not by deeming or legislative fiction. Consumption pattern by itself cannot be the sole substantive evidence of DAE; some tangible evidence of actual tampering must exist. The requirement of handing over a copy of the inspection report to the consumer must be adhered to.	Relied upon
<i>Udham Singh v. BSES Rajdhani Power Ltd.</i> 136 (2007) DLT 500 · High Court of Delhi	Mere irregular seals or breakage of glass do not authorize an issuer of a show-cause notice. An inspection must precede the assessment that a consumer has indulged in DAE. The licensee must follow principles of natural justice and grant a reasonable hearing. Analysis of consumption pattern is merely corroborative and not substantive evidence by itself.	Relied upon
<i>Kiran Mehta v. B.S.E.S. Rajdhani Power Ltd.</i> 2011 (121) DRJ 611 · High Court of Delhi	A writ court should not foreclose the respondent’s right to prove a case before the Special Court by examining disputed factual questions. However, the respondent must place material evidence before the court to prima facie establish its case of direct theft; absent such evidence, the court can grant interim relief and direct the respondent to place evidence before the Special Court.	Referred
<i>Jagannath Singh v. B.S. Ramaswamy</i> [1966] 1 SCR 885 · Supreme Court of India	The existence of artificial means for abstracting energy can only give rise to a presumption of dishonest abstraction. The supplier must still prove that the consumer is responsible for the tampering. A meter with an exposed stud-hole, without more, is not an artificial means; the meter must be converted into an instrument recording less than units actually passing through it.	Referred
<i>P.R. Metrani v. Commissioner of Income Tax, Bangalore</i> JT 2006 (10) SC 537 · Supreme Court of India	A presumption is an inference of fact from other known or proved facts. ‘May presume’ leaves discretion to the court. ‘Shall presume’ binds the court to make the presumption. ‘Conclusive proof’ provides an irrebuttable presumption. Words like ‘conclusive evidence’ in regulations must be interpreted to require proof by conclusive means, not by deeming provisions.	Relied upon
<i>M/s Time Properties & Promoters v. Delhi Development Authority</i> C.R. 245/1984 · Supreme Court of India	If there is legal necessity for a declaration before granting injunction, the suit is not purely a suit for injunction. If declaration is not necessary, a suit for simple injunction is maintainable without a declaration.	Relied upon
<i>M/s Ratlam Straw Board Mills Pvt. Ltd. v. Union of India and another</i> AIR 1975 Delhi 270 (4) · High Court of Delhi	A suit for declaration that a contract has ended by acts of the defendant, coupled with an injunction to restrain recovery, attracts an ad valorem court fee based on the relief sought.	Referred

AUTHORITY	PROPOSITION & HOW TREATED	TREATMENT
<i>Punjab Exchange v. Rajdhani Grains Ltd.</i> 1975 Raj. Law Reporter 485 (5) · Rajasthan High Court	In a suit for mandatory injunction where the relief amounts to the plaintiff asking for possession from a defendant in exclusive possession, the court fee payable is as required by Section 7(v) of the Court Fee Act.	Referred
<i>Shiv Kumar Chadha v. MCD</i> JT 1993 (3) SC 238 · Supreme Court of India	Where the court is of prima facie opinion that an order is a nullity due to jurisdictional error or is outside the statute, civil court jurisdiction is clearly implied even if statutory jurisdiction is otherwise ousted.	Referred
<i>Secretary of State v. Mask and Co.</i> AIR 1940 Privy Council 105 · Privy Council	Even where jurisdiction is excluded by statute, civil courts have jurisdiction to examine cases where statutory provisions have not been complied with or the tribunal has not acted in conformity with fundamental principles of judicial procedure.	Relied upon
<i>State of Kerala v. Mathew (M.M) and Anr.</i> 1978 AIR 1571, 1979 SCR (1) 264 · Supreme Court of India	Courts apply the well-recognised test of basic human probabilities in judging evidence. Public servants are prima facie presumed to act honestly and conscientiously; their evidence is assessed on its intrinsic worth and cannot be discarded merely because they are interested in the success of their case.	Referred

This digest is a condensed reference prepared from the text of the judgment. It is not a substitute for the full judgment and should be verified against the original before use.